
CONTRACTOR EDITION

The Contractor's Acquisition Starter Kit

For BD, capture, proposal and contracts teams. How the government buys in 2026, who actually buys, the terms evaluators notice, and the mistakes that quietly cost contractors the recompile.



INSIDE

01	What changed in 2025 and 2026	2	06	OTs, CSOs and CMMC now	7
02	Task orders vs. standalone contracts	3	07	Acronyms, by category	8
03	When GSA buys for DoD	4	08	Analogies for the hard parts	10
04	Who's actually buying	5	09	Five mistakes contractors make	11
05	The numbers to know	6	10	Pre-bid checklist and next steps	12

If your compliance matrix is from 2025, it is out of date

The rulebook, the buyers' org charts and the cyber rules all moved in the last eighteen months. Here is what changed for contractors and where it stood when we checked on **28 September 2026**.

WHAT CHANGED	WHAT IT MEANS FOR YOU	STATUS
The FAR is being rewritten RFO	Same name, new text, and some new clause numbers. FAR 52.204-21 is now 52.240-93. DFARS 252.204-7019 is gone and 7020 is now 252.240-7997. Read the clause list in every solicitation instead of reusing last year's matrix.	DoD adopted most rewritten parts on Feb 1, 2026. Proposed rules: set 2 published Sept 18, comments due Oct 19, 2026. Two sets to go.
Small business rules shifted	The Rule of Two stays. Set-asides on orders under multiple-award contracts are now the contracting officer's call, and the rewritten FAR says that decision can't be protested (not yet tested at GAO or the Court of Federal Claims). Order-level size re-representation was dropped from the FAR text, which conflicts with an SBA rule that still allows it.	In the rewritten FAR Part 19 DoD adopted. Watch for the final rule.
CMMC Phase 2 paused PAUSED	No third-party (C3PAO) certification required on new contracts for now. Phase 1 self-assessments in SPRS are still required, and so is NIST SP 800-171 under DFARS 252.204-7012. The pause is on the referee, not the rules.	Suspended July 13, 2026. A Sept 3 deviation keeps the requirement out of contracts. No new date yet.
Commercial first, OTs and CSOs	Since March 2025, Commercial Solutions Openings and Other Transactions are the default way to buy under the software pathway. The November 2025 "Warfighting Acquisition System" memo puts commercial solutions first across the board.	In effect. Page 7.
PEOs become Portfolio Acquisition Executives	Your customer's org chart is changing. A PAE controls a portfolio and can shift money and people inside it, so call plans built around old PEO offices need a refresh.	Rolling out over about two years. Also in the FY2026 NDAA.
TINA and EVM thresholds up	Certified cost or pricing data at \$10M on DoD contracts. EVM from \$50M, validated EVMS from \$100M.	FY2026 NDAA sec. 1804(c), after June 30, 2026. DFARS deviation 2026-O0011.
Higher buying thresholds	Micro-purchase \$15,000, simplified acquisition threshold \$350,000, subcontracting plans from \$900,000.	FAC 2025-06, effective Oct 1, 2025.
New names on old places	DAU is now WarU (Warfighting Acquisition University). DoD also uses the name Department of War. You will see both in solicitations.	Sept and Nov 2025.
FY2027 started on a CR	New starts usually wait for a full-year appropriation. Expect some award dates to slip, and plan your pipeline and hiring around it.	CR runs to Dec 11, 2026.

BUILD THE HABIT

For every pursuit, confirm which FAR version the buying office is using, pull the clause list from the actual solicitation, and check your SPRS entry is current. Ten minutes of checking beats a compliance finding after award.

Winning the vehicle is not winning the work

A **standalone contract** is one award for one defined requirement, with its own solicitation and evaluation. A **task order** is issued under an existing IDIQ (Indefinite Delivery, Indefinite Quantity) contract. The IDIQ sets the rules, the labor categories and a ceiling. The task order is where the actual work and the actual money live.

THE ONE-SENTENCE VERSION

An IDIQ is a hunting license. It lets you into the woods, but you still have to win each task order, and the guaranteed minimum on a very large IDIQ can be small enough to make the press release look silly.

	STANDALONE CONTRACT	SINGLE-AWARD IDIQ	MULTIPLE-AWARD IDIQ
How orders are won	One competition (full and open, or set aside)	One competition for the vehicle, then orders go to the holder	Compete for the vehicle, then compete again for each order
Revenue certainty	High once awarded	High, but the vehicle is hard to win	Moderate: depends on your order win rate
Getting on	Moderate to hard	Very hard	Moderate
BD after award	Low	Low	High and continuous
Typical length	1 to 5 years	5 to 10 years	5 to 10 years
Common for	Unique, well-defined work	Specialized capability, one qualified source	Broad services and IT. The dominant model.

Fair opportunity, and its exceptions

On a multiple-award IDIQ, each holder must get a fair opportunity to compete for orders above the micro-purchase threshold. The traditional exceptions are narrow: an unusually urgent need, only one holder able to do specialized work, a logical follow-on to an earlier order, satisfying a minimum guarantee, a statute that expressly authorizes or requires a specific source, or a set-aside for small business.

Know them because they cut both ways. A competitor may get a sole-source order you expected to compete for, and your own firm may qualify for one in the right circumstances.

CHECK THE VERSION

These rules sit in FAR 16.505 in the pre-overhaul numbering. Part 16 has been rewritten and is in the September 2026 proposed rules, and DoD already uses the rewritten text by deviation. The ideas are stable, but check the current cite before you put it in a protest or a proposal.

Some big DoD buys are run by a civilian agency

Assisted acquisition means one agency runs a procurement for another. GSA's Office of Assisted Acquisition Services (AAS) does this at scale, and DoD is a major customer. If you only watch DoD contracting offices, you will miss some of the biggest defense opportunities.

How it works

- The DoD office signs an interagency agreement with GSA and transfers the funds. DoD must show that using another agency is in its interest.
- GSA contracting officers run the solicitation, the source selection and the award, often on GSA vehicles such as OASIS+ or Alliant 3.
- The DoD program office still owns the requirement and provides technical evaluators.
- GSA charges the customer agency a fee for the service.

Why DoD uses it

- **Capacity:** the program office lacks contracting staff for a large, complex buy.
- **Speed:** a team that runs these every day can move faster than a local office doing its first one.
- **Complexity:** big, multi-stakeholder IT and professional services buys with heavy documentation.
- **Defensibility:** disciplined, well-documented source selections hold up better if protested.

The three AAS delivery models

MODEL	WHAT IT HANDLES
FEDSIM	The Federal Systems Integration and Management Center. Large, complex, noncommercial buys on cost-type contracts, often for defense customers, with project management through performance.
FLEX	Fixed-price, time-and-materials and labor-hour buys of IT and professional services. AAS's highest-volume model.
INNOVATE	Research and development buys, including partnering with SBA to award SBIR Phase III contracts.

GSA reorganized its Federal Acquisition Service in May 2026. Assisted acquisition kept its mission under the new Office of Assisted Acquisition Services.

What it means for your pipeline

- ☐ Search SAM.gov for GSA and FEDSIM postings, not only DoD offices. The customer's name is usually in the description.
- ☐ Get on the GSA vehicles your customers use. For many of these buys, no vehicle means no bid.
- ☐ Expect structured, documentation-heavy source selections. Write proposals that are easy to trace to the evaluation criteria.
- ☐ Build relationships on both sides: the GSA contracting team runs the process, but the DoD program office defines "good".
- ☐ Do not assume the incumbent wins. These competitions are designed to test current value and risk.

"We want to sell to the Air Force" is not a strategy

No service is one buyer with one credit card. Contracting is split into layers with different authorities, contract sizes and mission focus. Aim at the wrong layer and a great proposal bounces off. The Air Force is the example here; the Army and Navy have the same three layers under different names.

LAYER 1

Base-level contracting

- A contracting squadron or office at each installation.
- Day-to-day needs: facilities, local IT, services.
- High volume, mostly simplified buys and BPAs.
- The best place for a new firm to earn past performance.

LAYER 2

Enterprise sourcing

- For the Air Force, the Air Force Installation Contracting Center (AFICC), part of AFIMSC and headquartered at Wright-Patterson AFB.
- Eight enterprise sourcing squadrons aligned to category management.
- Consolidated, multi-year, multi-base buys with formal source selections.

LAYER 3

Program and command

- Program offices under PEOs, now becoming PAEs, and major command contracting.
- Weapon systems, mission support, operational needs.
- Often classified, cleared or overseas. Lower competition, higher barriers.

	BASE LEVEL	ENTERPRISE SOURCING	PROGRAM / COMMAND
Typical size	Mostly under \$350K, some into the millions	\$1M to \$100M+	Millions to billions
How they buy	Simplified procedures, BPAs, small business set-asides	Formal source selections, orals, written proposals	Formal source selections, OTs, sole source where justified
Getting in	Low to moderate	Moderate to high: past performance required	High: clearances, facilities, domain depth
Visibility	Moderate (not all simplified buys post widely)	High on SAM.gov	Varies; classified work is limited
Best for	Small business and new entrants	Mid-size and large firms with a track record	Cleared, specialized firms

Sizes are a rough guide, not a rule. Check real award history before you commit bid money.

FIND YOUR BUYER IN 30 MINUTES

On USAspending.gov, search your NAICS code and filter by awarding office to see who buys what you sell, from whom, and at what price. Then check SAM.gov for that office's sources sought notices and RFIs. Responding to those is how you shape a requirement before the RFP exists. If the office has paid \$4M a year for work you cannot do under \$7M, walk away before you spend on a proposal.

The thresholds that change how you bid

Current as of 28 September 2026. Each line changes the paperwork, the competition or the audit exposure on a deal, so know which side of it you are on before you price.

THRESHOLD	AMOUNT	WHAT IT CHANGES FOR YOU
Micro-purchase	\$15,000	The government can buy with a purchase card and little or no competition. Useful for small first sales.
Simplified acquisition threshold (SAT)	\$350,000	Simplified procedures, and reserved for small business by default when two or more capable small firms exist.
Small business subcontracting plan	\$900,000 (\$2M construction)	Large primes above this must submit a plan with goals for small business subcontracting.
Certified cost or pricing data (TINA)	\$10M on DoD contracts \$2.5M elsewhere	Above it, you certify your cost or pricing data is current, accurate and complete, and defective data can mean a price reduction. DoD figure for contracts after June 30, 2026.
Earned value management	\$50M; validated EVMS at \$100M	Cost and incentive contracts. Above \$100M your EVM system must be validated.
CMMC Level 1 / Level 2	15 / 110 requirements	Level 1 protects federal contract information. Level 2 covers controlled unclassified information using NIST SP 800-171.

Sources: FAC 2025-06 (Oct 1, 2025); FY2026 NDAA sec. 1804(c); DFARS class deviation 2026-O0011 (Feb 1, 2026); 32 CFR part 170.

Contract types and who carries the risk

TYPE	WHO CARRIES COST RISK	WHAT IT MEANS FOR YOU
Firm Fixed Price (FFP)	You, all of it	Every dollar saved is profit; every overrun comes out of it. Minimal government insight into your books.
Fixed Price Incentive (FPIF)	Shared by a ratio, up to a ceiling	Past the point of total assumption, overruns are all yours again.
Cost plus (CPIF, CPAF, CPFF)	Mostly the government	You need an adequate accounting system, and your costs will be audited.
Time and Materials (T&M)	Mostly the government	The least preferred type. Needs a written justification and a ceiling price.

BEFORE YOUR FIRST COST-TYPE CONTRACT

Get your accounting system right first: timekeeping, segregation of unallowable costs, written policies and indirect rates that match how you actually work. DCAA audits it, and the contracting officer decides whether it is adequate.

The fastest-growing doors in, and the one rule that did not pause

Other Transactions (OTs)

Agreements for prototypes, research and follow-on production that are not subject to the FAR or DFARS, though some statutes still apply. Faster and more flexible, with fewer standard clauses and more negotiation.

FY2024 OT obligations	Over \$18B
FY2016, inflation-adjusted	\$1.8B
Share for prototypes, FY2021 to FY2024	About 90%

GAO-25-107546, September 2025.

Many prototype OTs run through consortia, and a successful prototype can lead to a follow-on production award without a new competition. Join the consortia in your field and read their notices every week.

Commercial Solutions Openings (CSOs)

A way to buy innovative commercial products and services by asking for solutions to a problem, usually starting with a short white paper or pitch instead of a full proposal.

- Default solicitation method for the software pathway since the March 2025 memo, along with OTs.
- Used heavily by DIU and the service innovation units.
- Good fit for firms with a working product and no long federal past performance record.

Commercial first is now the default expectation across DoD buys, not just software.

CMMC and cybersecurity, as of 28 September 2026

PIECE	STATUS	WHAT TO DO
Phase 1: self-assessments	Required since Nov 10, 2025	Post your Level 1 or Level 2 self-assessment and affirmation in SPRS. Contracting officers check it before award.
Phase 2: C3PAO certification	PAUSED since July 13, 2026	Not required on new contracts for now. A Sept 3, 2026 class deviation keeps it out. You can still get a voluntary C3PAO assessment.
DFARS 252.204-7012 and NIST SP 800-171	Fully in force	Keep protecting CUI, report cyber incidents within 72 hours, and keep your SSP and plan of action current.
The reform task force	Report pending	The review of the program closed in September 2026 with no public report or new Phase 2 date as of our check. Watch for it.

THE REAL RISK RIGHT NOW

A self-assessment score that overstates what you have actually implemented is a misrepresentation to the government, and False Claims Act cases have been brought over cyber compliance. The pause changed who checks your homework, not whether you have to do it.

Speak the customer's language

Evaluators notice when a proposal says SOW for a PWS, or thanks the COR for a decision only a CO can make. Getting the words right signals you understand the work. Terms marked **LEGACY** you will still see, but they no longer describe how things work.

CONTRACT TYPES AND VEHICLES

FFP Firm Fixed Price, you carry the cost risk

FPIF Fixed Price Incentive (Firm target), shared risk up to a ceiling

CPFF / CPIF / CPAF Cost Plus Fixed / Incentive / Award Fee

T&M / LH Time and Materials / Labor Hour, paid by the hour

IDIQ Indefinite Delivery, Indefinite Quantity, the hunting license

MAC Multiple-Award Contract, an IDIQ with many holders

GWAC Governmentwide Acquisition Contract, an IT vehicle any agency can use (e.g. Alliant 3)

OASIS+ GSA's governmentwide multiple-award contracts for services

TO / DO Task Order (services) / Delivery Order (supplies)

BPA Blanket Purchase Agreement, for repeat simplified buys

BOA Basic Ordering Agreement, terms agreed now, orders later

OT / OTA Other Transaction / its authority, outside the FAR and DFARS

CSO Commercial Solutions Opening

UCA Undefined Contract Action, or a pathway (see page 9)

SOLICITATION AND EVALUATION

RFI / Sources sought Market research, your chance to shape the requirement

RFP / RFQ Request for Proposal / Request for Quotation

Section L / M Proposal instructions / evaluation criteria. Write to M.

PWS / SOW / SOO Outcomes / tasks / objectives. Answer the one you were given.

Best-value tradeoff Quality can justify a higher price

LPTA Lowest Price Technically Acceptable

SSEB / SSA Source Selection Evaluation Board / Authority, who decides

J&A Justification and Approval for a sole-source award

pWin Probability of win, your honest estimate

PEOPLE AND ROLES

CO / KO Contracting Officer, the only one who can bind the government

PCO / ACO / TCO Procuring / Administrative / Terminating Contracting Officer

COR Contracting Officer's Representative, watches performance, can't change the contract

TPOC Technical Point of Contact

PM Program Manager (government) or project manager (your side)

PEO / PAE Program Executive Officer, becoming Portfolio Acquisition Executive

Capture manager Leads the strategy to win one specific opportunity

BD Business Development, finds and qualifies opportunities

PERFORMANCE AND MONEY

CPARS Contractor Performance Assessment Reporting System, your report card. The COR gives input.

PPIRS Past Performance Information Retrieval System **MERGED INTO CPARS**

QASP Quality Assurance Surveillance Plan, how the government checks your work

CDRL / DID Contract Data Requirements List / Data Item Description, what data you owe and in what format

CLIN Contract Line Item Number, how the money is organized

EAC / ETC / BAC Estimate at Completion / Estimate to Complete / Budget at Completion

CPI / SPI Cost / Schedule Performance Index, below 1.0 is bad news

EVMS Earned Value Management System (\$50M / \$100M validated)

IPMDAR The earned value report DoD uses now, replaced the CPR and IPMR

R&O Risk and Opportunity register, with likelihood and weighted dollar value

REA Request for Equitable Adjustment, asking to be made whole after a change

PoP Period of Performance

TINA Truth in Negotiations Act, certified cost or pricing data

DCAA Defense Contract Audit Agency, audits your costs

DCMA Defense Contract Management Agency, oversees your performance

REGISTRATION AND SMALL BUSINESS

SAM.gov Where you register and where opportunities post

UEI Unique Entity Identifier, your SAM.gov ID (replaced DUNS)

CAGE Commercial and Government Entity code

NAICS / PSC Industry code / Product Service Code, how buyers find you

USAspending / FPDS Where past awards and prices are public

SB / SDB Small Business / Small Disadvantaged Business

8(a) SBA's business development program

HUBZone Historically Underutilized Business Zone

WOSB Women-Owned Small Business

SDVOSB / VOSB Service-Disabled / Veteran-Owned Small Business

Rule of Two Set aside when two or more capable small firms are expected to bid at a fair price

RULES, CYBER AND INSTITUTIONS

FAR / DFARS The rulebook / DoD's supplement

RFO Revolutionary FAR Overhaul, the 2025 to 2026 rewrite

CMMC Cybersecurity Maturity Model Certification **PHASE 2 PAUSED**

C3PAO CMMC Third-Party Assessment Organization

SPRS Supplier Performance Risk System, where your cyber score lives

CUI Controlled Unclassified Information

NIST SP 800-171 The 110 security requirements behind CMMC Level 2

AAS / FEDSIM GSA Assisted Acquisition Services / its large-program center

AFICC Air Force Installation Contracting Center

DIU Defense Innovation Unit, a heavy CSO user

WarU Warfighting Acquisition University, formerly DAU

DoW Department of War, the name DoD also uses

Same letters, different meaning

UCA

An Undefined Contract Action (work before the price is agreed) or the Urgent Capability Acquisition pathway. Know which one before you celebrate.

PM

Program Manager on the government side, project manager on yours. Theirs has more authority.

CR

A continuing resolution in budget talk, a change request in engineering talk.

TO

A task order under an IDIQ, or an Air Force technical order (a maintenance manual).

KO

The contracting officer. Not a knockout, although losing a protest can feel like one.

TERMINOLOGY SIGNALS CREDIBILITY

Misusing SOW and PWS, or CO and COR, tells an evaluator your team may not understand the work, even when your technical approach is strong. Have someone who knows the terms read the final draft for this alone.

The ideas that trip up new contractors, in plain English

Good for onboarding new BD and proposal staff, and for explaining to your CFO why the government does what it does.

FAR AND DFARS

The FAR is the league rulebook every federal agency plays by. The DFARS is the extra rulebook one team, DoD, follows on top, because its games carry higher stakes. And this season the league is rewriting the rulebook mid-game.

FFP VS. COST-TYPE VS. T&M

FFP is a fixed quote for a kitchen remodel: \$40,000 whether it takes three weeks or three months, the contractor's problem. Cost-type is paying the mechanic for time and parts with no firm total: the customer's risk. T&M is a freelancer by the hour with no end date: nothing stops the clock but the customer.

IDIQ

A hotel's corporate agreement. It sets the rates, but it does not put you in a room. The task order is the actual reservation, for specific dates, with money attached.

UNDEFINITIZED CONTRACT ACTION

A restaurant with no prices on the menu. The customer is starving, orders everything, and then tries to negotiate the bill after the meal. If you are the restaurant, keep excellent records of every course.

DCAA VS. DCMA

DCAA is the accountants who check the money math. DCMA is the contract managers who check you deliver what you promised. Number problem, DCAA. Delivery, schedule or quality problem, DCMA.

TINA

Showing your receipts. Above the threshold (\$10M on DoD contracts) you certify that the cost data behind your price is current, accurate and complete. If a receipt later turns out to be wrong, the government can take the difference back.

THE AUTHORITY LADDER

The CO signs and changes the contract. The PM manages the program. The COR watches the work. Only one of them can commit the government's money, and it is not the one you talk to every day.

CMMC RIGHT NOW

The gym paused the personal trainer who checks your form. The workout is still mandatory, and you are still signing a form saying you did it.

WRAP RATE

A restaurant steak. The price on the menu pays for the steak, plus the cook, the rent, the manager and a little profit. A wrap rate is that menu price divided by what the steak cost. At one large prime, a services business unit ran about 1.7 times while a systems division under the same parent ran about 2.9 times.

Avoid these before they cost you the contract

Not obscure edge cases. They show up at firms of every size, year after year, and each one is fixable once somebody names it.

1 Chasing instead of planning

Reacting to whatever shows up on SAM.gov burns proposal money and wins at low rates. By the time the final RFP posts, the firms that shaped it at the RFI stage are already ahead.

Do instead: pick target customers 12 to 18 months out, map the vehicles you need, respond to their market research, and score each pursuit's pWin before you commit bid money.

2 Treating the COR as a checkbox

The COR is the government's day-to-day technical eyes and gives input to your CPARS. Firms that only manage the CO relationship miss their best source of feedback.

Do instead: plan COR engagement from kickoff and put issues in writing. The COR cannot change the contract: anything that changes scope, price or schedule goes to the CO, or you may end up doing it for free.

3 Answering a PWS like it was a SOW

A SOW says what tasks to do. A PWS says what outcome to deliver and leaves the method to you. Answering a PWS with a list of activities tells evaluators you missed the point.

Do instead: for a PWS, lead with your management approach, the measures you will report and how you will hit the outcomes in the QASP.

4 Finding accounting gaps at the worst possible time

Firms moving into cost-type work often find the gaps after award: timekeeping that doesn't track by contract, unallowable costs in indirect pools, no written policies.

Do instead: build an adequate accounting system before you bid cost-type work, with a CPA who knows government contracts. Know where your deals sit against the TINA line (\$10M on DoD contracts) and the EVM lines (\$50M and \$100M).

5 No recompile plan

Firms neglect the most winnable deal they have: the contract they already hold. Incumbents lose more often than most people assume.

Do instead: start the recompile plan at award. Track wins, CPARS narratives, staffing continuity and challengers, and put recompile risks on your R&O with a likelihood and a weighted dollar value, so leadership sees a number, not just a worry.

A pre-bid checklist that catches most of the above

- ☐ We know the buying office, its award history and what it has paid for this work.
- ☐ We have the vehicle, or a teaming partner who does.
- ☐ We answered the RFI or sources sought, and it shows in the requirement.
- ☐ Our pWin is written down with the reasons, and leadership agreed to it.
- ☐ We know which FAR version and clause numbers this solicitation uses.
- ☐ Our SPRS entry and CMMC self-assessment are current and accurate.
- ☐ Our accounting system fits the contract type we are bidding.
- ☐ Someone checked our terms: PWS vs SOW, CO vs COR.

This kit is the map. Acqlerate is the drive.

Acqlerate teaches defense acquisition from both sides of the table in short lessons built on real program numbers: **14 modules, 124 lessons** and about 45 hours of instruction, in five families. Every lesson comes at three depths and ends with a quiz, and many include an "If you are on the contractor side" card. Module 1 is free.

FOUNDATIONS How the system works, end to end DoD Acquisitions Foundations (free) From Need to RFP: Government Pre-Award Beyond Award: Sustainment and Closeout The Startup On-Ramp Why the Rules Exist	MONEY Where the dollars come from and go Defense Finance and Budgeting The Business of Defense Contracting	CONTRACTS The rules and paperwork that bind Defense Contracting Fundamentals The Compliance Stack	WINNING WORK Going after work and landing it Capture Management and BD Small Business in Defense Contracting Veteran Transition	RUN THE PROGRAM Executing once you have it Data Analytics for PMs PM Operations and Leadership
---	--	--	---	---

Bold modules are where most contractor BD, capture and contracts teams start.

LEARN THE BUYER'S SIDE The Pre-Award module shows how a requirement becomes an RFP, so you know when and how to shape it.	KNOW YOUR NUMBERS The Business module covers revenue recognition, wrap rates, EACs and the R&O.	LISTEN ON THE ROAD Every module has The Debrief, an audio episode for the drive to the customer site.
---	---	---

Start with Module 1. It's free.

No card needed. Teams of 10 can get a single invoice. Share this kit with your BD and capture team.

acqlerate.com

Acqlerate is an independent training provider. It is not affiliated with or endorsed by DoD, GSA, WarU or any government agency. This kit is not legal advice or official guidance. Facts were checked on 28 September 2026 and will keep changing; confirm against the solicitation and current regulations before you bid.